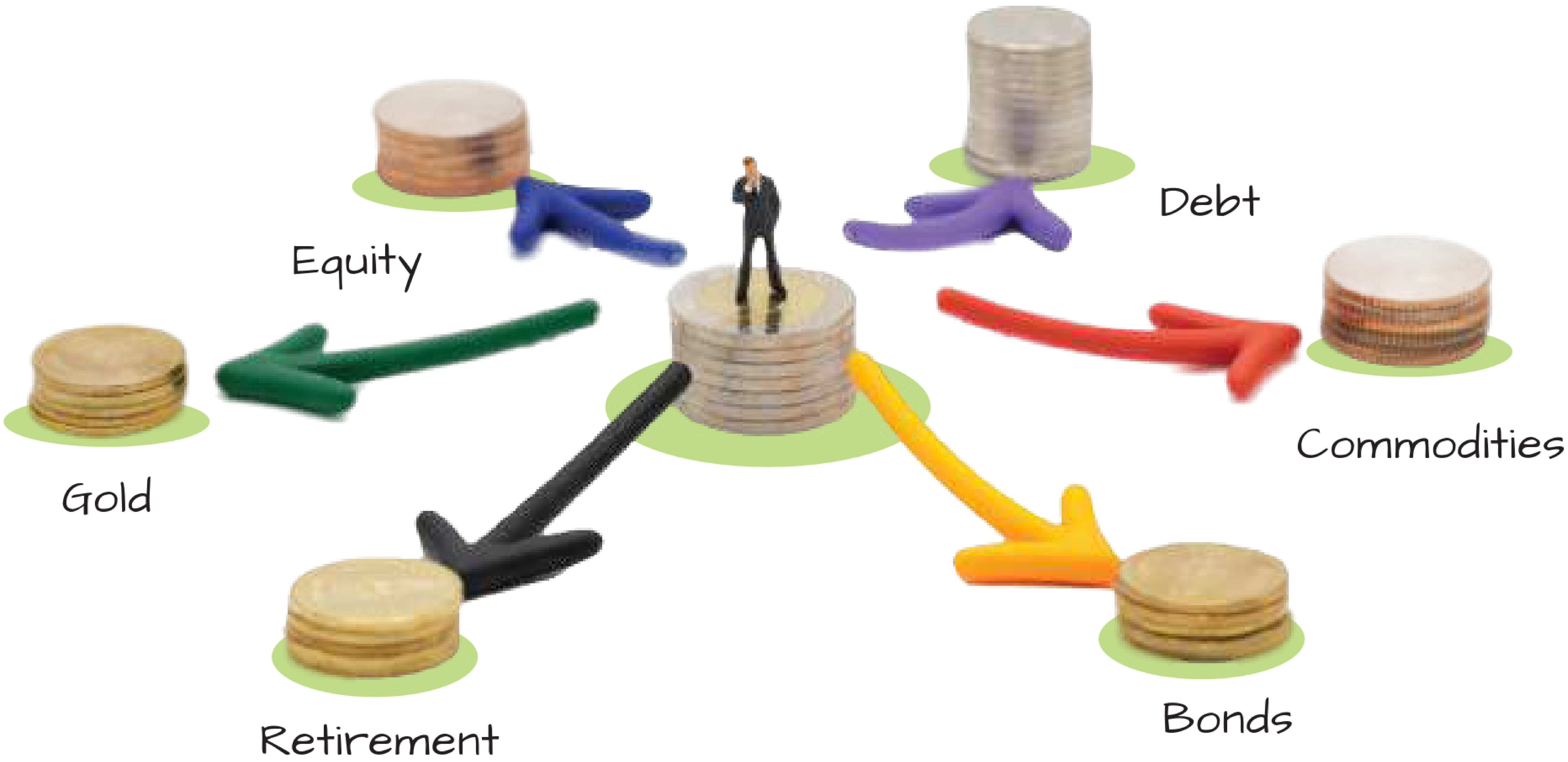
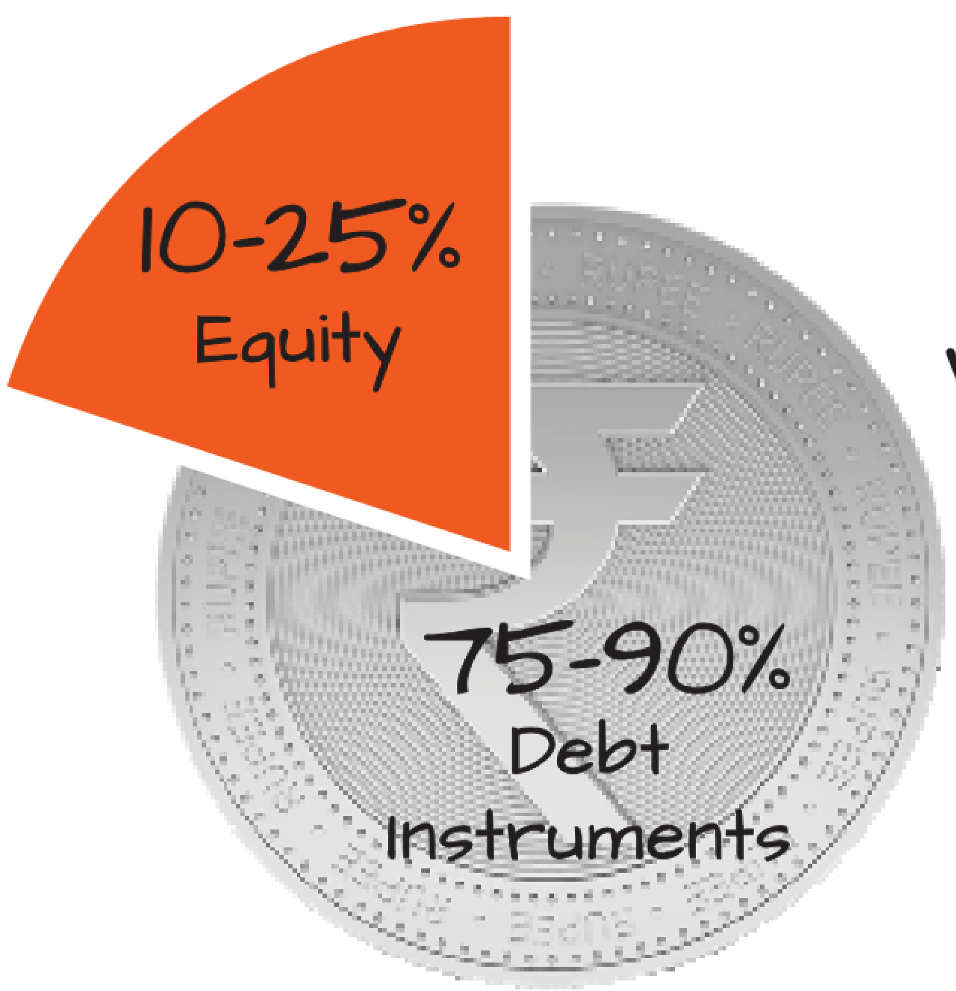
iii. Multi-Asset Allocation Funds:

These offer the widest diversification in India, investing in gold, equity, debt, commodities, and more. They must invest **at least 10% in three different asset classes,** with higher allocation flexibility at the manager's discretion. However, do note that they are taxed at the income tax slab rate.



iv. Conservative Hybrid Funds:



These prioritize income generation, allocating 10-25% to equity and 75-90% to debt instruments. They offer slightly higher returns than pure debt funds due to the small equity portion and **suit goals with a 3-year horizon.**

v. Aggressive Hybrid Funds:

These aim for high returns with controlled risk, investing 65-80% in equity and 20-35% in debt. They benefit from equity-oriented taxation while offering returns lower than pure equity funds but higher than pure debt funds.